

An Act

ENROLLED SENATE
BILL NO. 1122

By: Rader of the Senate

and

Caldwell (Trey) of the
House

An Act relating to ad valorem tax; amending 68 O.S. 2021, Sections 2808 and 2847, which relate to definitions and assessments of railroad, air carrier, and public service corporation property; defining term; requiring the State Board of Equalization to assess certain property at a certain ratio; updating statutory language; and providing an effective date.

SUBJECT: Ad valorem tax

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 68 O.S. 2021, Section 2808, is amended to read as follows:

Section 2808. A. As used in the Ad Valorem Tax Code:

1. "Public service corporation" means all transportation companies, transmission companies, all gas, electric, light, heat, and power companies, and all waterworks and water power companies, and all persons authorized to exercise the right of eminent domain or to use or occupy any right-of-way, street, alley, or public highway, along, over, or under the same in a manner not permitted to the general public;

2. "Transportation company" means any company, corporation, trustee, receiver, or any other person owning, leasing, or operating for hire, a street railway, canal, steamboat line, and also any sleeping car company, parlor car company, and express company, and any other company, trustee, or person in any way engaged in such

business as a common carrier. As used in the Ad Valorem Tax Code, the term ~~"transportation company"~~ transportation company shall not include any railroad or any air carrier. However, all railroad and air carrier property shall continue to be valued and assessed by the State Board of Equalization for purposes of ad valorem taxation;

3. "Transmission company" means any company, corporation, trustee, receiver, or other person owning, leasing, or operating for hire any telegraph or telephone line or radio broadcasting system;

4. "Person" means individuals, partnerships, associations, and corporations in the singular as well as plural number;

5. "Video services provider" means a subclass of public service corporations consisting of any public service corporation offering video programming services;

6. "Video programming" shall have the same meaning as set forth in 47 U.S.C., Section 522(20); ~~and~~

7. "Fixed wireless broadband Internet service provider" means an entity that solely offers access to the Internet through a stationary fixed point-to-point connection often requiring direct line of sight between the provider's wireless transmitter and its end-user consumer's receiver; and

8. "Broadband service providers" means a subclass of public service corporations consisting of any company, corporation, trustee, receiver, or other person offering broadband-based services including fixed or mobile Internet access, Voice over Internet Protocol, or Internet protocol television, to end-user consumers.

B. As used in the Ad Valorem Tax Code, ~~"transmission company"~~ transmission company and ~~"public service corporation"~~ public service corporation shall not be construed to include cable television companies or fixed wireless broadband Internet service providers.

C. Any real or personal property used by any company, corporation, trustee, receiver, or other person owning, leasing, or operating for hire any pipeline or oil or gas gathering system which was assessed by the State Board of Equalization after January 1,

1997, shall continue to be assessed by the State Board of Equalization through ad valorem tax year 1998.

SECTION 2. AMENDATORY 68 O.S. 2021, Section 2847, is amended to read as follows:

Section 2847. A. The property of all railroads, air carriers, and public service corporations shall be assessed annually by the State Board of Equalization at its fair cash value estimated at the price it would bring at a fair voluntary sale.

B. Taxable values of real and personal property of all railroads, air carriers, and public service corporations shall be established in accordance with the requirements of Section 8 of Article X of the Oklahoma Constitution. The State Board of Equalization shall determine the taxable value of all taxable property that the Board is required by law to assess and value, and shall determine such taxable value in accordance with the requirements of Section 8 of Article X of the Oklahoma Constitution.

C. The State Board of Equalization shall assess the property of that subclass of public service corporations known as video services providers, as defined in Section 2808 of this title, as provided:

1. Every video services provider shall file with the State Board of Equalization a certification regarding total gross receipts for the immediate preceding calendar year by April 15 and shall specify the total gross receipts derived from video programming services;

2. The State Board of Equalization shall determine the percentage of gross receipts the video services provider has derived from video programming in the immediately preceding calendar year; and

3. The percentage determined pursuant to paragraph 2 of this subsection shall be applied to the taxable fair cash value allocated to ~~Oklahoma~~ this state, and the resulting fair cash value attributable to video programming services shall be assessed using the statewide average of the assessment ratios applied to the assets of cable television companies in that tax year. Unless the taxpayer or the State Board of Equalization demonstrates otherwise, the

statewide average assessment ratio applied to the personal property of a cable television company shall be assumed to be twelve percent (12%).

D. The Except as provided for in subsection E of this section, the percentage of fair cash value for real and personal property of railroads, air carriers, and public service corporations required by the Oklahoma Constitution to be taxable shall be the percentage at which it was assessed on January 1, 1996, in accordance with the provisions of paragraph 3 of subsection A of Section 8 of Article X of the Oklahoma Constitution, and, subject to the requirements of federal law, shall be uniformly applied to calculate the taxable values of public service corporation property within the state for the applicable assessment year.

E. The State Board of Equalization shall assess the property of that subclass of public service corporations known as broadband service providers, as defined in Section 2808 of this title, at fifteen (15%) of its fair cash value.

SECTION 3. This act shall become effective January 1, 2027.

Passed the Senate the 5th day of March, 2026.

Presiding Officer of the Senate

Passed the House of Representatives the 21st day of April, 2026.

Presiding Officer of the House
of Representatives

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____

Approved by the Governor of the State of Oklahoma this _____

day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____